DRAFT OF BANK GUARANTEE FOR ADVANCE PAYMENT TO THE CONTRACTOR

Note: This Guarantee should be executed on non judicial stamp paper of appropriate value.

WHEREAS _____ (hereinafter referred to as the Owner) which expression shall unless repugnant to the context include its legal representatives, successors and assigns, have placed a Contract (hereinafter referred to as the Contractor) with M/s _____ (hereinafter referred to as the Contractor) which expression shall unless repugnant to the context, include its legal representatives, successors and assigns, for the construction for its _____ (work).

AND WHEREAS one of the conditions of the Contract placed on the Contractor is that the Owner should make an advance payment of Rs._____ (Rupees_____ only) being _____ per cent of the Contract Price against the indemnity in the form of a Bank Guarantee from a Bank in a form acceptable to the Owner.

AND WHEREAS at the request of the Contractor, the Owner has agreed to accept a Bank Guarantee from _____ (Bank) with registered office at _____ (hereinafter called the Bank).

AND NOW THIS GUARANTEE WITNESSETH that in consideration of the Owner having at the request of the Contractor agreed to accept a Bank Guarantee of the Bank in respect of Rs._____ (Rupees_____ only) required by the Contractor from the Owner for the above work stipulated in the Contract, which figure of advance shall become reduced and extinguished as hereinafter set forth the Bank hereby indemnified payment, without protest or demur and without recourse to the contractor, to the said Owner upto and not exceeding altogether a sum of Rs._____ (Rupees_____ only) being the amount of the (one hundred) 100 per cent of the advance payment or such other unadjusted amount of the said advance. The decision of the Owner as to whether the terms and conditions of this Guarantee have been observed shall be final and binding on the Bank.

The Owner may, without affecting bank's liabilities and obligations hereunder, grant time or other indulgence to or compound with the contractor or enter into any agreement or agree to forbear to enforce any of the terms and conditions of the said Contract against the Contractor or agree to vary any of the terms and conditions of the said Contract.

This guarantee shall not be effected by any change in the constitution of the Owner by absorption with any other body or corporation or otherwise and this guarantee will be available to or enforceable by such body or corporation.

In order to give effect to this guarantee the Owner will be entitled to act as if the Bank were the Principal debtor and the Bank hereby waives all and any of its rights or suretyship.

This Guarantee shall continue to be in force notwithstanding the discharge of the Contractor by operation of law and shall cease only on payment of the full amount by the Bank to the Owner of the amount hereby secured and on the claim of the Owner against the Contractor in respect of the said Contract being satisfied.

This Guarantee shall be in addition to and not in substitution for any other Guarantee or Security for the Contractor given or to be given to the Owner in respect of the said Contract by the Bank (whether alone or jointly with others).

Any notice by way of request, demand or otherwise hereunder may be sent by post to the Bank addressed as aforesaid and, if sent by post, it shall be deemed to have been given at the time when it would be delivered in due course of post and in proving such notice, when given by post, it shall be sufficient to prove that the envelope containing the notice was posted shall be conclusive.

These present shall be governed by and construed in accordance with Indian Law.

THE GUARANTEE HEREIN CONTAINED is not revocable by notice during its currency and will remain in full force until (a) payment has been made to the Owner by the Bank of the aggregate amount payable hereunder or (b) the said advance/progress payment has been fully adjusted and extinguished as hereunder set forth whichever is earlier. Out of the gross amount of each invoice representing the full cost of goods being effected ..... Per cent of the amount due will be deducted by way of adjustment of the said advance/progress payment in the invoices, such that

UNLESS PREVIOUSLY CANCELLED BY THE OWNER, this indemnity will remain in force upto ..... months from date of issue of the Guarantee i.e. upto _____ and will stand automatically cancelled on the expiry of the said period then contemplated hereunder. Unless demand or claim under this Guarantee is made on Bank in writing size months from the date of expiry of this Guarantee, all the rights of the Owner against as hereunder shall be forfeited and Bank shall be relieved and discharged from all liabilities hereunder.

The Bank hereby declares that it has the power to issue this Guarantee and the undersigned has fully power to do so.

Date.....this.....day of.....